

Subject Code	AF5132
Subject Title	ESG Disclosure and Rating Analysis
Credit Value	3
Level	5
Pre-requisite/ Co-requisite/ Exclusion	None
Objectives	This subject is divided into two main parts: ESG disclosure and ESG ratings. This subject aims to provide students with a thorough understanding of the key issues in ESG disclosure/reporting and ESG ratings. It contributes to the achievement of MSc in ESG and Sustainability Programme by enabling students to comprehensively explain and articulate the theoretical and technical skills in disclosure/reporting/standards and rating assessment, together with the related disclosure regulatory analysis. This course helps students to understand the fundamental economic and business requirements and technological methods to deal with ESG and sustainability. The objectives of this subject are to enable students to 1) prepare the mainstream of ESG reporting using several international ESG reporting frameworks including those in Hong Kong, China, and the rest of the world; 2) analyse ESG reporting prepared by other firms and identify useful information in ESG disclosure for the decision making; 3) assess and analyse ESG ratings provided by popular rating agencies such as MSCI and Refinitiv for their business and investment decisions.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: - show a comprehensive understanding of the increasing importance of ESG disclosures and ESG ratings globally, from both the demand side and supply side. - prepare mainstream ESG disclosure using several international reporting frameworks. - apply knowledge from this course to analyse companies' ESG performance based on their ESG reports, and offer practical solutions and recommendations to issues associated with ESG disclosure; - assess and evaluate ESG ratings; - apply ESG ratings for the business strategy recommendations and investment decisions; - develop verbal and written communication skills within the context of ESG disclosure and ratings;
Subject Synopsis/ Indicative Syllabus	1) Introduction(s) to (scope of) the Course 2) What is ESG disclosure, what it is increasingly important? 3) Who demand for ESG disclosures and how can we use the ESG disclosures for decision making? 4) Who supply the ESG disclosures and what the problems?

	5) What are the current ESG disclosure regulations in the HK, China, US, and the rest of the world? 6) How do we prepare typical ESG disclosure? 7) How can we use ESG disclosures? 8) What are the ESG ratings and why they are increasingly useful and important? 9) How are ESG ratings produced by the raters? 10) What are the problems with the current ESG ratings? 11) How can we use ESG ratings for the business strategy improvement and investment decisions? 12) Conclusion: how ESG disclosure and ESG ratings can be beneficial to both managers, investors, and regulators.																																														
Teaching/Learning Methodology	The course will be conducted through lectures, in-class discussion, and student presentations. Some assessment activities will take place in study groups. Students will be required to analyse real-based cases regarding ESG disclosure and ESG ratings in addition to the related regulations.																																														
Assessment Methods in Alignment with Intended Learning Outcomes	<table><tr><th rowspan="2">Specific assessment methods/tasks</th><th rowspan="2">% weighting</th><th colspan="6">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr><tr><th>a</th><th>b</th><th>c</th><th>d</th><th>e</th><th>f</th></tr><tr><td>1. Individual Preparation of ESG disclosures</td><td>25%</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td><td></td></tr><tr><td>2. Group Presentation</td><td>25%</td><td></td><td></td><td>✓</td><td>✓</td><td>✓</td><td>✓</td></tr><tr><td>3. Final Exams</td><td>50%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td></tr><tr><td>Total</td><td>100 %</td><td colspan="6"></td></tr></table> Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: 1. Preparation of ESG disclosures is used to measure students’ understanding and ability to apply the concepts, principles, and techniques associated with selected ESG disclosure topics. Students are encouraged to collect ESG information from resources given and other publicly available information to prepare ESG report of a real company. They will need to demonstrate their knowledge from this course to prepare disclosure following ESG disclosure framework and regulations. 2. Group presentation is used to measure students’ effectiveness of communication and teamwork skills. Each group has five or	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)						a	b	c	d	e	f	1. Individual Preparation of ESG disclosures	25%	✓	✓	✓				2. Group Presentation	25%			✓	✓	✓	✓	3. Final Exams	50%	✓	✓	✓	✓	✓		Total	100 %						
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3. Final Exams	50%	✓	✓	✓	✓	✓																																									
Total	100 %																																														

	six students. The group presentation is to act as ESG raters and explain to the potential investors how the ESG ratings can help them make investment decisions, using a real case. Students will have an opportunity to apply knowledge learnt from this and other courses to evaluate ESG ratings in public companies. They also need to raise alternative viewpoints about ESG ratings and provide well-reasoned challenges to expressed views. 3. The final exam comprises a few multiple-choice questions and long questions. They are used to enhance and assess students' overall ability to apply and integrate past learning in addressing specific both ESG disclosure and rating problems.	
Student Study Effort Expected	Class contact:	
	▪ Subject learning	26 Hrs.
	▪ Interactions with lecture (inc. in-class exercise)	13 Hrs.
	Other student study effort:	
	▪ Preview of study materials	6 Hrs.
	▪ Review of study materials and prepare exercises	65 Hrs.
	Total student study effort	103 Hrs.
Reading List and References	The IFRS Foundation's International Sustainability Standards Board https://sasb.org/ Sustainability Reporting Guidelines: https://www.globalreporting.org The International Integrated Reporting Framework: http://integratedreporting.org HKEX ESG Reporting Guide: https://www.hkex.com.hk/Listing/Sustainability/ESG-Academy/Rules-and-Regulations?sc_lang=en MSCI ESG Ratings: https://www.msci.com/zh/esg-ratings Refinitiv ESG company scores: https://www.refinitiv.com/en/sustainable-finance/esg-scores Task Force on Climate-related Financial Disclosures (TCFD), Recommendations of the Task Force on Climate-related Financial Disclosure. https://www.fsb-tcfd.org HKEX, Implementation Guidance for Climate Disclosures under HKEX ESG reporting framework: https://www.hkex.com.hk/-/media/HKEX-Market/Listing/Rules-and-Guidance/Environmental-Social-and-Governance/Exchanges-guidance-materials-on-ESG/guidance_enhanced_climate_dis.pdf	

	HKEX, Exchange publishes conclusions on climate disclosure requirements:https://www.hkex.com.hk/News/Regulatory-Announcements/2024/240419news?sc_lang=en European Commission, New rules on corporate sustainability reporting - The Corporate Sustainability Reporting Directive: https://finance.ec.europa.eu/capital-markets-union-and-financial-markets/company-reporting-and-auditing/company-reporting/corporate-sustainability-reporting_en#legislation Shanghai Stock Exchange, 关于发布《上海证券交易所上市公司自律监管指引第 14 号——可持续发展报告（试行）》的通知 IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information https://www.ifrs.org/issued-standards/ifrs-sustainability-standards-navigator/ifrs-s1-general-requirements/ IFRS S2 Climate-related Disclosures https://www.ifrs.org/issued-standards/ifrs-sustainability-standards-navigator/ifrs-s2-climate-related-disclosures/ Christensen, D. M., Serafeim, G., & Sikochi, A. (2022). Why is corporate virtue in the eye of the beholder? The case of ESG ratings. <i>The Accounting Review</i>, 97(1), 147-175. Kimbrough, M. D., Wang, X., Wei, S., & Zhang, J. (2022). Does voluntary ESG reporting resolve disagreement among ESG rating agencies? <i>European Accounting Review</i>, 1-33. Avramov, D., Cheng, S., Lioui, A., & Tarelli, A. (2022). Sustainable investing with ESG rating uncertainty. <i>Journal of Financial Economics</i>, 145(2), 642-664.
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